

Olist E-Commerce

Sales Analytics — Insights & Recommendations Report

Brazil · 2016–2018 · 99,441 Orders · R\$15.84M GMV

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Tools Used: Excel · PostgreSQL · Power BI

Dataset: Olist Brazilian E-Commerce (Kaggle)

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99,441	R\$15.84M	R\$120.65	97.0%	4.09 / 5
Total Orders	Total GMV	Avg Order Value	Completion Rate	Avg Review Score

01 Executive Summary

This report presents a comprehensive sales analytics study of Olist, Brazil's largest e-commerce marketplace connecting small businesses to major retail channels. The analysis covers 99,441 orders placed between September 2016 and August 2018, spanning R\$15.84M in Gross Merchandise Value across 27 Brazilian states.

Using a multi-tool analytical pipeline — Excel for data cleaning, PostgreSQL for advanced SQL analysis, and Power BI for interactive visualisation — this study identifies key revenue drivers, customer behaviour patterns, operational strengths, and critical areas for improvement.

Metric	Value	Context
Total Orders	99,441	Sep 2016 – Aug 2018
Total GMV	R\$15.84M	Price + Freight combined
Total Revenue	R\$13.59M	Product sales only
Avg Order Value	R\$120.65	Per delivered order
Order Completion Rate	97.0%	Industry avg: 90–95%
Cancellation Rate	0.6%	Industry avg: 2–5%
Avg Review Score	4.09 / 5.0	Based on 99,224 reviews
On-Time Delivery Rate	91.89%	Delivered before estimate
Repeat Customer Rate	6.4%	Critical retention gap
Top State	Sao Paulo (SP)	38.3% of total revenue
Top Category	Health & Beauty	R\$1.23M revenue

02 Key Findings

Business Performance

1. Exceptional Order Completion Rate

Olist successfully delivered 96,478 out of 99,441 orders — a 97% completion rate, significantly above the e-commerce industry average of 90–95%. The cancellation rate of just 0.6% compares favourably against the industry benchmark of 2–5%.

Delivered: 96,478 (97.0%) | Cancelled: 625 (0.6%) | In Progress: 2,338 (2.4%)

2. Strong Revenue Growth Trajectory

Olist grew from a single order in September 2016 to 7,289 orders in November 2017 — a remarkable growth trajectory achieved in just 14 months. A clear Black Friday spike is visible in November 2017, confirming seasonal demand patterns.

Sep 2016: 1 order | Nov 2017: 7,289 orders | Growth: 728,800%

Revenue & Geographic Analysis

3. Dangerous Geographic Revenue Concentration

Sao Paulo (SP) accounts for 42% of all customers and 38.3% of total revenue — generating R\$5.07M compared to R\$1.76M for Rio de Janeiro (RJ) in second place. SP wins through volume (avg R\$109) while smaller states like Bahia (R\$134) and Distrito Federal (R\$125) demonstrate higher per-order spending.

SP Revenue: R\$5.07M (38.3%) | RJ Revenue: R\$1.76M | SP is 2.9x larger than RJ

4. Health & Beauty Leads Revenue — Watches Lead Efficiency

Health & Beauty is the top revenue category at R\$1.23M across 8,647 orders. However, Watches & Gifts demonstrates superior revenue efficiency at R\$199 average order value — 68% higher than the platform average of R\$119.98 — despite lower order volume. This suggests watches as a high-value, high-margin category worth prioritising in marketing.

Health & Beauty: R\$1.23M | Watches Avg: R\$199 | Platform Avg: R\$120

02 Key Findings (continued)

Customer Behaviour

5. Critical Customer Retention Problem

93.6% of Olist's customers never place a second order — only 6,342 out of 99,441 customers are repeat buyers. This means Olist's growth is almost entirely dependent on expensive new customer acquisition. Industry research shows acquiring a new customer costs 5x more than retaining an existing one, making this the single most impactful area for business improvement.

Repeat customers: 6,342 (6.4%) | One-time buyers: 93,099 (93.6%)

6. Installment Payments Drive High-Value Purchases

A strong positive correlation exists between installment count and order value. Customers paying in 1 installment spend an average of R\$95.87, while those using 10 installments spend R\$415.09 — a 333% difference. This confirms that installment flexibility is not merely a payment preference but a key revenue enabler, allowing customers to afford higher-value purchases they could not pay for upfront.

1 installment: R\$95.87 avg | 10 installments: R\$415.09 avg | Difference: +333%

Delivery & Customer Satisfaction

7. Late Deliveries Cause 40% Satisfaction Drop

This analysis proves a direct causal relationship between delivery performance and customer satisfaction. On-time deliveries (88,653 orders, 92%) achieve an average review score of 4.29, while late deliveries (7,700 orders, 8%) score just 2.57 — a 40% drop. Late orders take an average of 30.9 days vs 10.4 days for on-time orders — 3x longer. Improving logistics is the single highest-impact operational action.

On Time: 4.29 stars (10.4 days) | Late: 2.57 stars (30.9 days) | Drop: -40%

8. J-Curve Review Distribution Reveals Extreme Dissatisfaction

The review score distribution shows a J-curve pattern — 5-star reviews dominate at 57.8% (57,328), but 1-star reviews (11,424) are nearly 4 times higher than 2-star reviews (3,151). This suggests that when customers have a bad experience, they give the worst possible rating rather than a moderate one, indicating extreme frustration rather than mild disappointment.

5 stars: 57,328 (57.8%) | 1 star: 11,424 (11.5%) | 2 stars: 3,151 (3.2%)

03 Business Recommendations

The following recommendations are prioritised by potential business impact, derived directly from the analytical findings above.

Recommendation 1: Launch Customer Retention Program

Problem: 93.6% of customers never return — Olist is losing nearly every customer after their first purchase.

Action: Implement post-purchase email campaigns (7-day, 30-day, 90-day follow-ups). Introduce a loyalty points system rewarding repeat purchases. Offer personalised product recommendations based on purchase history.

Expected Impact: Even a 5% improvement in repeat rate adds ~4,700 returning customers. At R\$120 avg order value = R\$564,000 additional annual revenue.

Recommendation 2: Optimise Logistics to Reduce Late Deliveries

Problem: 7,700 late deliveries cause a 40% satisfaction drop — directly damaging brand reputation.

Action: Partner with additional logistics providers in underperforming states. Set more realistic delivery estimates using historical delivery data. Implement real-time delivery tracking with proactive delay notifications.

Expected Impact: Reducing late deliveries by 50% (3,850 orders) could improve overall avg rating from 4.09 to 4.3+, significantly improving brand trust.

Recommendation 3: Expand Marketing Beyond Sao Paulo

Problem: 38.3% revenue concentration in one state creates significant geographic risk.

Action: Launch targeted digital marketing campaigns in RJ, MG, RS and BA. States like Bahia (R\$134 avg) and Distrito Federal (R\$125 avg) show higher spending per order than SP (R\$109) — premium market potential.

Expected Impact: 10% revenue diversification reduces geographic concentration risk. BA and DF customers spending 25% more per order than SP customers.

Recommendation 4: Promote Installment Payment Options

Problem: Many high-value purchases are blocked by inability to pay full amount upfront.

Action: Prominently display installment options on product pages and at checkout. Create targeted campaigns for high-value categories (electronics, furniture). Partner with Nubank and other fintech providers for seamless installments.

Expected Impact: Customers using 10 installments spend 333% more (R\$415 vs R\$96). 15% increase in installment adoption could add R\$500K+ in annual GMV.

Recommendation 5: Address the Unbanked Boleto Segment

Problem: 19% of customers pay via Boleto — a cash payment method used by unbanked customers.

Action: Partner with digital wallet providers (PicPay, Mercado Pago, Nubank). Offer exclusive discounts for digital payment migration. Create educational content about digital payment security and convenience.

Expected Impact: Converting 30% of Boleto users to digital payments reduces payment processing time by 2-3 days and improves cash flow predictability.

04 Conclusion & Next Steps

This analysis demonstrates that Olist has built a fundamentally strong e-commerce marketplace — evidenced by a 97% order completion rate, consistent revenue growth, and a healthy 4.09/5 average review score. However, two critical vulnerabilities threaten long-term sustainability:

- 1. Customer Retention — 93.6% one-time buyer rate makes growth entirely acquisition-dependent
- 2. Delivery Consistency — 7,700 late deliveries are directly eroding customer satisfaction

Addressing these two areas alone could transform Olist's unit economics. The installment analysis further reveals that payment flexibility is a proven revenue multiplier — customers with access to 10-installment plans spend 333% more. This suggests that financial accessibility, not just product selection, is a key growth lever in the Brazilian e-commerce market.

Recommended Next Steps

Priority	Action	Timeline	Owner
Critical	Launch retention email campaign	0–30 days	Marketing
Critical	Review logistics partners in late-delivery states	0–60 days	Operations
High	Implement installment promotion at checkout	30–60 days	Product
High	Launch RJ, MG, BA targeted campaigns	30–90 days	Marketing
Medium	Partner with digital wallet providers	60–120 days	Finance
Medium	Build seller quality scorecard for top categories	60–120 days	Marketplace